

THE WALL STREET JOURNAL.

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DJIA 42519.64 ▲ 214.16 0.51% NASDAQ 19398.96 ▲ 0.8% STOXX 600 548.44 ▲ 0.1% 10-YR. TREAS. yield 4.459% OIL \$63.41 ▲ \$0.89 GOLD \$3,350.20 ▼ \$20.40 EURO \$1.1372 YEN 144.00

What's News

Business & Finance

- ◆ **Trump's tariff regime** threatens to significantly crimp U.S. economic growth this year while boosting inflation, the OECD said in a new forecast that sharply cuts its outlook. **A1**
- ◆ **Regulators moved** to lift restrictions that capped growth at Wells Fargo as punishment for the bank's fake-accounts misdeeds committed nearly a decade ago. **A1**
- ◆ **Gains in Nvidia** and other tech stocks drove major U.S. stock indexes higher, lifting the S&P 500, Nasdaq and Dow industrials by 0.6%, 0.8% and 0.5%, respectively. **B11**
- ◆ **Thoma Bravo said** it raised a total of \$34.4 billion across three funds, topping its last big fundraising year in 2022 and bucking the private-equity slowdown. **B1**
- ◆ **Meta Platforms will buy** the power generated by a nuclear plant in Illinois for 20 years under a deal with Constellation Energy. **B1**
- ◆ **Lawyers for Meta** are challenging the EU's insistence on including part of the company's social-networking business in the bloc's crackdown on Big Tech market power. **B2**
- ◆ **Morgan Stanley enlisted** artificial intelligence to help transliterate old, outdated computer code into modern coding languages using a tool built on OpenAI's GPT models. **B2**
- ◆ **Dollar General raised** its outlook for the year after assessing tariffs' impact and its better-than-expected first-quarter results. **B3**
- ◆ **BAT said revenue** in the first half was slightly better than expected and raised its outlook for the year. **B3**

World-Wide

- ◆ **Former White House** cost-cutting czar Elon Musk called Trump's tax-and-spending package a "disgusting abomination," stepping up his criticism just as the Senate is trying to pass the measure and get it signed into law by July 4. **A1**
- ◆ **Some of Trump's** biggest inaugural donors, including chicken processor Pilgrim's Pride and fintech company Ripple, benefited from government actions early in the president's current term. **A1**
- ◆ **Israeli troops shot** at Palestinians making their way to an aid-distribution site in southern Gaza in another chaotic confrontation under a new assistance program. **A16**
- ◆ **The Dutch** governing coalition collapsed after far-right politician Geert Wilders pulled out of the ruling bloc, accusing the other parties of not doing enough to curb immigration. **A6**
- ◆ **Newark's mayor sued** New Jersey's top federal prosecutor, Alina Habba, over his arrest outside an immigration detention facility, accusing her of false arrest, malicious prosecution and defamation. **A3**
- ◆ **Immigration and Customs Enforcement** detained the wife and five children of a man charged in an incendiary attack on a Jewish group in Colorado, the agency said. **A3**
- ◆ **Citigroup dropped** its policy of denying banking services to businesses that sell firearms to people under 21 after Trump accused the banking industry of discriminating against customers on political grounds. **A3**

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Former Factory Worker Is Elected in South Korea



APPLAUSE: Supporters of Lee Jae-myung, the candidate of the country's left-leaning Democratic Party, celebrate in Seoul after exit polls showed him winning the presidential election. Lee has warned of becoming overly dependent on the U.S. **A6**

Tariffs Are Projected to Slow U.S. Growth, Raise Inflation

OECD cuts outlook, expects the Federal Reserve to keep rates steady this year

By HARRIET TORRY AND JOSHUA KIRBY

President Trump's tariff regime threatens to significantly crimp U.S. economic growth this year while boosting inflation, the Organization for Economic Cooperation and Development said in a new forecast that sharply cut its outlook.

The Paris-based research group said it expects growth in the U.S. gross domestic

product to decelerate notably to 1.6% in 2025 from 2.8% in 2024. The OECD previously expected GDP to grow by 2.2% this year, but it cut its forecasts due to the effects of the tariffs, retaliation from other countries, uncertainty around economic policy and slower immigration.

The OECD also expects U.S. inflation, as measured by the personal-consumption expenditures price index, to pick up to 3.9% by the end of the year, which it said could prevent the Federal Reserve from cutting rates again until next year. The index was up 2.1% in April from a year earlier.

The OECD's new estimates

echo other mainstream forecasts for the U.S. economy this year. Goldman Sachs expects GDP growth of 1.7%, while the Federal Reserve downgraded its estimate in March to 1.7% from 2.1% previously.

The OECD downgrade "adds more credibility to the private-sector view that the U.S. economy will feel a cold wind until we start getting clarity on the trade and tax environment that businesses and households will face," ING chief international economist James Knightley said.

"They are confirming the view that while Donald Trump's policies may generate some positives for the U.S.

economy over time, there will be a tricky and potentially quite painful transition period for parts of the economy," Knightley said.

The White House said the report "joins a growing list of doomsday prognostications that are untethered to reality" and pointed to higher business investment in equipment in the first quarter and strong personal income in April.

"Global growth does not need to be contingent on

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◆ **Labor market remained steady in April.....** A2

◆ **Factory orders fell more than expected.....** A2

Wells Fargo Freed From Key Penalty In Accounts Scandal

By GINA HEEB

Federal regulators moved Tuesday to lift an unprecedented punishment that had handcuffed growth at Wells Fargo, a milestone in the bank's efforts to repair its tarnished reputation after its fake-accounts scandal erupted nearly a decade ago.

The Federal Reserve Board of Governors voted to remove the restriction that had capped the bank's assets at around \$2 trillion. It was the most severe rebuke handed down after the bank's disclosure it had opened millions of unauthorized customer accounts. The 2018 order had pointed to "widespread consumer abuses and compliance breakdowns."

For the first time in seven years, the fourth-largest U.S. bank will be able to grow its balance sheet and redirect resources it had been pouring into efforts to fix itself. It will once again have the freedom to gather deposits, increase loans to companies and households and grow its Wall Street businesses or even do deals.

The removal of the asset cap "marks a pivotal milestone" for Wells Fargo, said CEO Charlie Scharf, who was brought in from BNY to fix the bank in 2019.

The bank said it would give full-time employees a special \$2,000 award.

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JASON GAY
It's the best sports show on TV—can ESPN avoid messing it up? **A12**



BUSINESS & FINANCE
Warner CEO Zaslav's \$51.9 million pay package is rebuffed by shareholders. **B1**

INSIDE

A Printing Error Ruffles The Mahjong World

* * *

Official card details winning tile patterns.

This year's mailing 'was a kerfuffle.'

By CORRIE DRIEBUSCH

For mahjong enthusiasts, the most anticipated day of the year comes in early spring. Devotees of the 19th-century Chinese tile-based game are known to stalk postal carriers the first week of April, anticipating the annual release of the official National Mah Jongg League card.

The object of their desire costs \$14 or \$15, depending on the size, and outlines which tile combinations allow players to declare "Mahjong!" and win

the game.

"We wait all year for a new mahjong card," said Fern Oliphant, a veteran player in Tampa, Fla.

This year, "Mahjong" wasn't the only word fans were exclaiming. The card had a misprint.

The ensuing drama has frozen players across the country, and led some to question the not-for-profit they all rely on to keep America's mahjong games going, a group they reverently call

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China Is Ready to Play Hardball on Trade

Negotiator He Lifeng has a mandate from top: China won't be catering to U.S.

By LINGLING WEI

In its deepening face-off with the Trump administration, Beijing's trade negotiator has given a preview of Xi Jinping's chief objective for this trade war: It won't be like last time.

In Geneva in mid-May, Vice Premier He Lifeng extracted a 90-day trade truce from a Trump team that had until then declined to pause a tariff blitz on China the way it had for others. The deal calmed

the nerves of investors and markets around the world.

Now, after both sides have complained that the other wasn't upholding the deal, that trade truce is teetering, once again jolting global investors and businesses.

At the center of the storm is He, Xi's economic gatekeeper, who has made clear China's strategy in this trade war is nothing like the approach it had in Trump's first term.

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Big Inaugural Donors Reap Benefits in D.C.

By JOSH DAWSEY AND PATRICK THOMAS

The biggest contributor to President Trump's inauguration was chicken processor Pilgrim's Pride, which gave \$5 million. In April, its Brazilian parent company, JBS, received government approval for a U.S. stock listing that it had long sought.

The second largest donor was the cryptocurrency company Ripple, which gave about \$4.9 million. In May it reached a settlement with the Securities and Exchange Commission to resolve a long-running lawsuit, sending its coin soaring.

Trump's record inaugural fundraising of almost \$250 million totaled almost as much

money as the last four combined. That was built in part on big political spending by companies that had little track record of giving outside sums, recently released campaign finance records show.

Some of those companies are benefiting from favorable government actions early in Trump's second term.

Four of the top 10 donors, all of whom gave north of \$1 million, were nominated to prominent posts in the administration. One, Elon Musk associate Jared Isaacman, had his nomination to be National Aeronautics and Space Administration administrator pulled Saturday, after Musk said he was leaving the White House.

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